



CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ACCOUNTING

UNIT 1 – Paper 02

2 hours and 45 minutes

24 MAY 2013 (a.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

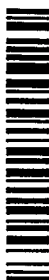
1. This paper comprises THREE questions.
2. EACH question is worth 35 marks.
3. ALL questions are COMPULSORY.
4. Begin EACH answer on a new page.
5. You may use a silent, non-programmable calculator to answer questions.
6. ALL working must be clearly shown.

**COUVA EAST SECONDARY
LIBRARY
636-2585**

C.E.S.E.C.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

Copyright © 2012 Caribbean Examinations Council
All Rights Reserved.



1. (a) Outline the structure of the 'Conceptual Framework of Accounting'. (You may use a diagram.) [6 marks]
- (b) State THREE reasons why the Conceptual Framework of Accounting was developed by the International Accounting Standards Board (IASB). [3 marks]
- (c) Outline in your own words, the meaning of any THREE of the following qualitative characteristics of accounting information:
- (i) Relevance
 - (ii) Reliability
 - (iii) Comparability
 - (iv) Consistency
 - (v) Understandability [6 marks]
- (d) State any FOUR steps that lead to the establishment and issuance of an Accounting Standard. [4 marks]
- (e) State any FOUR ways in which internal controls can be achieved in an organisation to enhance the accuracy and reliability of accounting records. [4 marks]
- (f) The new Accounting Clerk at D&G Limited had difficulty in making the required journal entries in the following situations.
- D&G Ltd purchased a welding plant from Welders International for \$150 000 on 15 March 2012. On that date a payment of \$100 000 was made and the balance was scheduled to be paid no later than two months after.
 - On 30 April, the balance owing on the welding plant was paid.
 - Office supplies worth \$25 000 were purchased during the year. After the annual stocktaking exercise at the end of the year, office supplies on hand had a value of \$2 500. The adjusting entry for the supplies used needs to be made.

Prepare the journal entries necessary, with narratives.

Calculations must be clearly shown.

[12 marks]

Total 35 marks

GO ON TO THE NEXT PAGE

2. The following unadjusted Trial Balance was taken from the books of K M Mart Limited, a medium sized clothing store located in downtown Montego Bay.

K M Mart Limited
Trial Balance
As at 31 December 2012

	Dr	Cr
	\$	\$
Cash	14 000	
Notes Receivable	43 960	
Accounts Receivable	300 050	
Allowance for doubtful debts		4 482
Short-term investment	25 800	
Merchandise inventory	560 200	
Prepaid insurance	2 590	
Equipment	170 240	
Accumulated depreciated – Equipment		32 200
Organization Costs	10 000	
Accounts Payable		147 208
Notes Payable		100 000
8% Preference Stock (\$100 par value)		120 000
10% Bonds Payable, due 2016		102 600
Common Stock (\$20 stated value)		300 000
Paid-in Capital in excess of stated value		25 000
Retained Earnings		110 000
Sales		3 440 200
Purchases	2 677 980	
Purchases Discounts		20 600
Freight in	7 440	
Selling Expenses	397 000	
General Expenses	102 200	
Salaries	94 540	
Interest income		3 710
	4 406 000	4 406 000

GO ON TO THE NEXT PAGE

The accounting clerk has asked that the following additional information be considered in the preparation of the financial statements:

- Merchandise Inventory at 31 December 2012 was \$470 540.
- Depreciation on equipment is to be charged at a rate of 10% on cost.
- Insurance expired during the year amounted to \$1 320.
- It was discovered at the end of the year that a total of \$ 50 000 of the Accounts Receivable was uncollectible.
- Bad debt expense is estimated to be 2% of Accounts Receivable.
- \$20 000 of the notes payable is due for payment in 2013.
- Corporation tax is charged at a rate of $33 \frac{1}{3} \%$.
- The Bonds payable attract an interest rate of 10% per annum, paid semi-annually. The amount due on 01 July 2012 was paid but not recorded and no accrual was set up for the outstanding amount.
- Dividends of \$2 per share were declared for common stock holders; both preferred stock dividends and common stock dividends are to be paid in February of 2013.

Prepare:

- (a) (i) A Multiple-Step Statement of Comprehensive Income (Income Statement), in good form (vertically) according to IAS 1. (Section 3 of IFRS for SMEs.) **[14 marks]**
- (ii) A Statement of Retained Earnings. **[4 marks]**
- (b) Three friends, Khary, Kwame and Kofi, form a partnership to operate a night club, Seventh Heaven, with Khary investing \$200 000, Kwame \$160 000 and Kofi \$100 000. They agree to share the net income as follows:

Salary allowances:

- \$160 000 to Khary
- \$100 000 to Kwame
- \$100 000 to Kofi

Interest allowances:

- 12% on opening Capital Account balances of each partner.

GO ON TO THE NEXT PAGE

Any partnership income in excess of the amount required to cover the interest and salaries is to be divided:

- 60% to Khary
- 20% to Kwame
- 20% to Kofi

The partnership income for the first year of operations ended 31 December 2012 amounted to \$741 000.

Show how the income of \$741 000 would be divided among the three partners. (Show clearly the amounts of interest, salaries and the residual amount divided.)

[17 marks]

Total 35 marks

3. The Manager of Fabric Smart Jamaica Ltd. would like to assess the cash-generating ability of the company in order to make plans for the acquisition of new equipment. The Income Statement is currently showing a reasonable net income; however, she does not think it is prudent to base decisions of this nature only on information from this source.

The information below was extracted from the company's books.

Fabric Smart Jamaica Ltd.
Comparative Balance Sheets as at
31 December 2011 and 31 December 2010

	2011	2010
	\$	\$
ASSETS		
Cash	51 920	26 050
Accounts Receivable	90 090	69 410
Merchandise Inventory	431 000	401 000
Store Supplies	520	790
Prepaid Electricity	4 500	4 500
Prepaid Rent	2 300	2 000
Fixtures and Fittings	250 980	300 980
Less: Accumulated Depreciation	(88 700)	(106 700)
Total Assets	<u>742 610</u>	<u>698 030</u>
LIABILITIES		
Accounts Payable	25 400	39 300
Notes Payable (long term)	31 720	59 640
Insurance Payable	1 040	1 990
Income Tax Payable	11 280	10 460
Dividends Payable	12 000	12 000
Interest Payable	120	1 160
Total Liabilities	<u>81 560</u>	<u>124 550</u>
STOCKHOLDER'S EQUITY		
Common Stock	517 190	457 190
Retained Earnings (reserves)	143 860	116 290
Total Stockholder's Equity	<u>661 050</u>	<u>573 480</u>
Total Liabilities and Stockholder's Equity	<u>742 610</u>	<u>698 030</u>

GO ON TO THE NEXT PAGE

Fabric Smart Jamaica Ltd.
Income Statement
For the Year Ended 31 December 2011

	\$	\$
Sales: Cash	654 760	
Credit	327 380	982 140
Less Cost of Goods Sold		678 350
Gross Profit		303 790
Less Expenses:		
Depreciation expense – Fixtures and Fittings	26 000	
Wages	126 400	
Other operating expenses	24 150	
Interest Expense	790	
Income Tax Expense	45 110	
Other Income:		
Gain on sale of Fixtures and Fittings	(6 230)	216 220
Net Income		87 570

Statement of Retained Earnings for the year ended 31 December 2011

	\$
Balance at 01 Jan 2011	116 290
Add: Net Income	87 570
	203 860
Cash Dividends paid	60 000
Balance at 31 December 2011	143 860

Additional Information:

- 12 000 shares of Common Stock of \$ 5 par value were sold for cash during the year.
 - The change in Notes Payable was as a result of principal repayment.
 - Fixtures and Fittings, originally costing \$50 000 and having an accumulated depreciation of \$44 000, were sold for cash of \$12 230 during the year.
- (a) Prepare a Statement of Cash Flows for the year ended 31 December 2011 in accordance with IAS 7 (IFRS for SMEs Section 7), indicating clearly **cash flows from operating activities, investing activities and financing activities**. Use the indirect method.
- [20 marks]**

GO ON TO THE NEXT PAGE

- (b) For the year ended 31 December 2011, calculate the following ratios for Fabric Smart Jamaica Ltd and interpret your answers.

(i) Current ratio [3 marks]

(ii) Quick ratio [3 marks]

(iii) $\frac{\text{Debt}}{\text{Total Assets}}$ [3 marks]

(iv) $\frac{\text{Debt}}{\text{Equity}}$ [3 marks]

(v) $\frac{\text{Net Income}}{\text{Total Assets}}$ [3 marks]

Total 35 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.